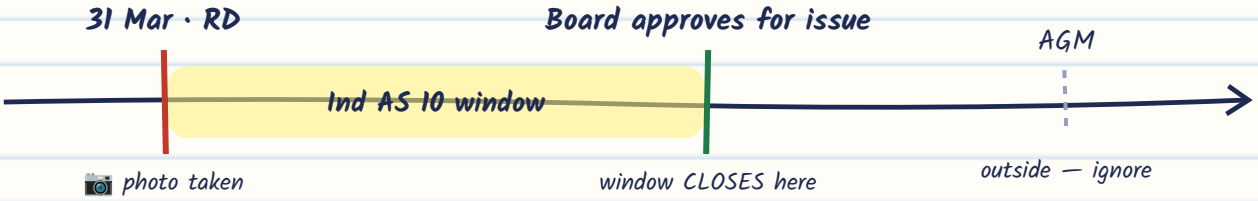
Nov 2026 attempt

Ind AS 10 — Events after Reporting Period

One question decides everything: **did the condition exist on the reporting date?**

① The window



→ Approval date = when **Board authorises issue**, even if shareholders approve later [5]
→ If management issues to a supervisory board first → date management authorises issue to it [6]
→ Window includes events **after public announcement of profit** [7]
→ Event after FS approved → **not in these FS at all**; next year's problem.

② Adjusting events [3(a) · 8 · 9]

New **evidence** about a condition that **already existed** at RD → **change the numbers**.

9	Example	Why it is old
(a)	Court case settled after RD	obligation existed at RD → adjust provision (Ind AS 37)
(b)(i)	Customer bankrupt after RD	**usually** confirms loss at RD
(b)(ii)	Inventory sold after RD below cost	evidence of NRV at RD
(c)	Cost of asset bought / proceeds of asset sold **before RD**, fixed after	transaction already happened
(d)	Bonus / profit-sharing fixed after RD	if legal/constructive obligation at RD
(e)	Fraud or error discovered	FS were wrong at RD

③ Non-adjusting events 3(b) · 10 · 11 · 22

A **new condition** arising after RD → **no change to numbers; disclose if material.**

- → Fall in **fair value of investments** 11
- → Major business combination / disposal of subsidiary
- → Plan to **discontinue** an operation announced
- → Major asset purchases, **HFS classification**, expropriation
- → **Fire** destroying a major plant
- → Major **restructuring** announced / commenced
- → Major ordinary share transactions
- → Abnormal changes in asset prices / **FX rates**
- → **Tax rate** changes enacted after RD
- → Big commitments / guarantees; litigation from post-RD events

Adjusting events **explain the past.** Non-adjusting events **change the future.**

④ Look-alike twins — trace the CAUSE, not the date

ADJUSTING (cause existed at RD)	NON-ADJUSTING (cause arose after RD)
Customer insolvent in April; was already in difficulty on 31 Mar	Customer healthy on 31 Mar; **fire in April** → insolvent
Inventory sold below cost in April; value already low	**Govt ban in April** → sold as scrap
Court rules on a case **pending at RD**	New lawsuit from an **April incident**
Prior-year fraud found in May → restate (Ind AS 8)	Market crash in April cuts investment values
Breach on/before RD, waived before approval **(Indian carve-out)**	Loan **refinanced** after RD

⚠ TRAP

Para 9(b)(i) says bankruptcy "**usually**" confirms a year-end loss — **usually ≠ always.** If the customer was healthy at RD, it is **non-adjusting.**

Ask: **"Was this already true at midnight on 31 March?"** Yes → adjust. No → disclose.

5 Going concern override 14–16

After RD, management **intends to liquidate / cease** or has **no realistic alternative** → **do NOT prepare on GC basis**.

Only exception to the photo test — it changes the **basis**, not just a figure. No formal resolution needed.

6 Dividends 12–13

Declared after RD → **NOT a liability** (no obligation at RD) → disclose (Ind AS 1 para 137).

Board recommends final dividend **before** RD, AGM after → **still not a liability**. Interim declared by Board before RD → liability.

7 Cross-standard links (where marks hide)

Event after RD	Treatment
Bonus issue / split before approval	Non-adjusting for BS, **but EPS restated retrospectively** (Ind AS 33 para 64)
HFS criteria met after RD	Not HFS at RD; disclose (Ind AS 105 para 12)
Restructuring announced after RD	No provision at RD (Ind AS 37); disclose
New tax rate enacted after RD	DT at rates enacted / substantively enacted **by RD** (Ind AS 12); disclose
Prior-period error found	Adjusting; restate comparatives (Ind AS 8); 3rd BS if material (Ind AS 1 40A)

8 Disclosures 17–22

- → **Date of approval & who approved**; if owners can amend FS after issue, say so 17
- → New info about conditions at RD → **update disclosures** 19
- → Material non-adjusting: **nature + estimate of financial effect** (or statement that it can't be estimated) 21

> ✍ **Write in exam**
> "The event does not provide evidence of conditions that existed at the end of the reporting period; hence it is a non-adjusting event as per Ind AS 10. Its nature and an estimate of its financial effect are disclosed (para 21)."

3 → 4 MARKS

⑨ Approval-date nuances 5·6·7

→ Window closes at **Board approval** — ~~audit report date~~, ~~AGM~~.

→ Supervisory board of non-executives → date **management authorises issue to it** 6

→ Events after **public announcement of profit** but before approval → **still inside** 7

→ Error found **after** approval → outside Ind AS 10 → **Ind AS 8 restatement next year**.

⑩ Trace the obligating event

Case	Treatment
Accident **Feb**, workers sue in **April**	**Adjusting — provide (Ind AS 37) if probable**
Accident in **April**, suit in May	**Non-adjusting** 22(j)
Restructuring plan **approved & announced before RD**, costs fixed April	**Adjusting — provide**
Restructuring **announced after RD**	**Non-adjusting** 22(e)
Guarantee: guaranteed party **already in default in March**, known in April	**Adjusting — provision + update disclosure** 19
Fire in April **+ insurance recovery**	**Ignore BOTH; disclose net effect**
Sharp FX move in April on USD receivables	**Non-adjusting; closing rate stands** 22(g)
Subsidiary declares dividend after RD	**Parent: no income at RD (right to receive later)**

⑪ Share transactions after RD

Bonus / split / reverse split

Share capital at RD **unchanged**, but **EPS restated** for all periods Ind AS 33 · 64

Rights issue

No EPS restatement; disclose only Ind AS 33 · 70(d)

Carve-out lives in **both**: Ind AS 1 para 74 (classification) **and** Ind AS 10 (lender's waiver after RD = **adjusting**).

⚠ TRAP

Para 19: info about a condition **existing at RD** updates **disclosures** too — not just numbers.

12 Fire destroys main factory — GC ladder (management)

Management concludes (before approval)	FY 24-25 FS
GC unaffected (insured / rebuild)	Non-adjusting; disclose nature + estimated effect 21
Material uncertainty, GC still OK	GC basis; disclose fire + **material uncertainty** 16(b) + Ind AS 1 25
Intends / **no realistic alternative** to cease	**NOT GC basis — fundamental change of basis** 14 · 15

The fire **never adjusts**. Going concern can **override**.

13 Four zones — who does what

RD → **Board approves** (Sec 134) → **Auditor signs** (never before approval) → **FS issued** → AGM

Zone	Management (Ind AS)	Auditor (SA 560 / 570)
A RD → approval	Inside window → GC ladder	**Active** duty (560 · 6-8); evaluate GC (570)
B approval → signing	Window closed for approved FS → **amend & re-approve** re-opens it	Still **active** till report date. Refuse → modify (570 · 21/23)
C signing → issue	Should amend & re-approve	**Passive** (560 · 10): new report or **dual dating** (11-12); not amended → modify / tell not to issue / prevent reliance (13)
D after issue	Next year's FS; ~~Sec 131~~ (FS were compliant)	560 · 14-17: new report with EOM / OM if amended

14 SA 570 reporting

Situation	Opinion
GC OK, material uncertainty **adequately disclosed**	**Unmodified + "Material Uncertainty Related to GC" section** 22
Uncertainty **not adequately disclosed**	**Qualified / Adverse** 23
GC basis used but **inappropriate**	**Adverse** 21
Liquidation basis, appropriate, disclosed	**Unmodified (EOM optional)**
Management refuses / won't extend assessment	**Qualified / Disclaimer** 24

⚠ TRAP

Material uncertainty → separate **MURGC section, not an EOM**. **CARO 3(xix)**: material uncertainty **as on audit report date** → a post-RD fire feeds it even though Ind AS 10 calls it non-adjusting.

Management's window closes at **approval**; auditor's eyes stay open till **signing**. Before signing → **search**. After → **react**. After issue → **prevent reliance**.